



Can I charge interest on a late payment? UK, 2026

Last checked 5 October 2026. Fill in the [BRACKETS] with your own facts.

Before you add interest

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Invoice [NUMBER] for [AMOUNT] was due on [DATE]. It is now [NUMBER] days overdue. Under the Late Payment of Commercial Debts (Interest) Act 1998 I am entitled to claim interest and a fixed sum. Before I do, can you tell me when I can expect payment?

Offer to leave it out

I would rather not add interest. If payment reaches me by [DATE], I will not charge it.

Point to your terms

My payment terms were on the invoice and in the quote of [DATE]: [TERMS]. Interest is due on late invoices at the statutory rate.

Adding it

Add interest to the invoice

Interest on invoice [NUMBER]: [AMOUNT] at [RATE]% for [DAYS] days is [INTEREST]. The fixed sum for a debt of this size is [40 / 70 / 100] pounds. The new total is [TOTAL]. A new invoice is attached.

Show your working

I have added statutory interest from [DUE DATE]. The working is below: debt, rate, days, daily amount.

Interest keeps running

Interest keeps running at [DAILY AMOUNT] a day until payment.

A contract with its own rate

Your contract sets a rate

Our agreement of [DATE] sets late interest at [RATE] a year. That rate applies instead of the statutory rate. Interest to date is [AMOUNT].

A customer who objects

It is the amount the law allows

The interest is the amount the law allows between businesses. If you think the invoice itself is wrong, tell me which line and I will check it.

You agreed to leave it out

Thank you for paying. I have not charged the interest, as agreed on [DATE].

Waive the fixed sum

I can waive the fixed sum if the invoice is paid in full by [DATE]. The interest to date remains [AMOUNT]. [ADD IF TRUE: ONLY IF YOU ARE HAPPY TO OFFER THIS.]

Notes to yourself

What to record

Record: the date the invoice was sent, the due date, the base rate on the 30 June or 31 December before interest started, the days late, the daily interest.

A private customer? Stop

If the customer is a private person, not a business, stop: this law does not apply. See the GOV.UK court claim page.

<https://proskillpacks.github.io/freelance/can-i-charge-interest-on-a-late-payment-uk/>

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